

Fraud in an Audit of Financial Statements – Explanation of Significant Changes

This paper explains the significant changes and the rationale for the changes that have been made by the Fraud Task Force (the Task Force) to the sections of proposed ISA 240 (Revised)¹ that are based on ISA 315 (Revised 2019)² since the June 2022 meeting, as reflected in the marked draft in **Agenda Item 6-B**. Minor editorial changes are not addressed in this paper.

Reference	Significant Changes and the Rationale for Those Changes
Risk Assessment Procedures and Related Activities	
Paragraph 17	In its June 2022 meeting, the Board noted that the requirements in proposed ISA 240 (Revised) that build on ISA 315 (Revised 2019) should not be duplicative of what is already required in ISA 315 (Revised 2019). In that regard the Board questioned whether paragraph 17 included fraud specific considerations. In response, the Task Force added “including obtaining an understanding of the fraud risk factors” in paragraph 17(a). The Task Force also noted that this paragraph is an overarching paragraph that links to ISA 315 (Revised 2019) in case specific matters are not addressed between the standards.
Paragraphs 17A–22	Agenda item 6, paragraphs 74–76, explain the movement of these paragraphs.
Paragraph 22A	Paragraph 22A(a) was deleted as similar paragraphs for inquires of management and internal audit did not include such an inquiry. Also, the Task Force is of the view that the auditor identifies fraud risk factors and not those charged with governance.
Paragraph 24	In its June 2022 meeting, the Board asked the Task Force to include in paragraph 24 information obtained from procedures on the acceptance or continuance of the client relationship or audit engagement as information from other sources instead of the auditor’s procedures regarding other information in accordance with ISA 720 (Revised).³ The Task Force was of the view that referring only to the acceptance and continuance procedures

¹ Proposed International Standard on Auditing (ISA) 240 (Revised), *The Auditor’s Responsibilities Relating to Fraud in an Audit of Financial Statements*

² ISA 315 (Revised 2019), *Identifying and Assessing the Risks of Material Misstatement*

³ ISA 720 (Revised), *The Auditor’s Responsibilities Relating to Other Information*

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	would be duplicative of ISA 315 (Revised 2019) paragraph 15(a). To make this requirement fraud specific, the Task Force linked it back to the identification of fraud risk factors and added application material with examples of information from other sources that may be relevant to the identification of fraud risk factors (see paragraphs A23B and A23C). <i>Application Material</i> - Paragraph A23: The Task Force made several changes to this paragraph, including: - Making the introduction of the paragraph fraud specific by referring to the identification of “fraud risk factors” instead of “risks of material misstatements”. - Taking out the examples as they repeat what is in the section on obtaining an understanding of the entity and its environment and the applicable financial reporting framework. - Paragraph A23A: The Task Force deleted this paragraph as it was of the view that the first bullet was sufficiently addressed in the application material related to paragraph 24A (engagement team discussion).⁴ The second bullet was deemed not appropriate as the auditor is likely not aware of the disclosures that are part of the entity’s annual report when performing risk assessment procedures. - Paragraphs A23B and A23C: In these paragraphs the Task Force included several examples of information from other sources that may be relevant to the identification of fraud risk factors.
Obtaining an Understanding of the Entity and Its Environment, the Applicable Financial Reporting Framework and the Entity’s System of Internal Control	
Paragraph 24B	Agenda item 6, paragraphs 74–78, explain the restructuring of this paragraph. - In its June 2022 meeting, the Board noted that the requirements in proposed ISA 240 (Revised) that build on ISA 315 (Revised 2019) should not be duplicative of what is already required in ISA 315 (Revised 2019). In that regard the Board noted that some of the sub-paragraphs of paragraph 24B were duplicative of ISA 315 (Revised 2019). As a result, the Task Force deleted some of the sub-paragraphs. The Task Force did note that there was

⁴ The section on engagement team discussion is not included in **Agenda Item 6-B** but was presented to the Board in June 2022. See [Agenda Item 7-B](#), paragraphs 24A and A23B–A23C.

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	application material attached to some of the sub-paragraphs that were repeating ISA 315 (Revised 2019), which included fraud specific matters. In response, the Task Force linked these paragraphs to the introduction of paragraph 24B (e.g., paragraphs A23D-A23G). - The Board noted that the reference to “transactions and other events or conditions” in paragraph 24B(b) was too granular. Therefore, the Task Force used the wording that was included in the application material (paragraph A23K) and which is not as granular i.e., “increased susceptibility to misstatement due to management bias or other fraud risk factors.” <i>Application Material</i> - Paragraph A23K: As some of the wording in the introduction to this paragraph is now used in paragraph 24B(b), the Task Force deleted it to avoid repetition. Also, the Task Force added examples to the bullets that did not include an example yet.
Paragraph 24C	- The Task Force aligned the wording in paragraphs 24C(a)(ii) and (iii), and 24C(b) with ISA 315 (Revised 2019) paragraph 21(a)(ii) and therefore replaced the phrase “unless all of those charged with governance are involved in managing the entity” with “when those charged with governance are separate from management.” - Based on a suggestion from the Board, the Task Force added “or management bias” in paragraph 24C(b)(iii). <i>Application Material</i> Agenda item 6, paragraphs 81–83, explain the addition of application material.
Paragraph 24D	<i>Application Material</i> Agenda item 6, paragraphs 81–83, explain the addition of application material.
Paragraph 24E	- The Task Force added “and the identification and remediation of control deficiencies identified” in paragraph 24E(a) to align with ISA 315 (Revised 2019) paragraph 24(a)(i). <i>Application Material</i> Agenda item 6, paragraphs 81–83, explain the addition of application material. - Paragraph A26D: The Task Force enhanced this paragraph as part of the development of application material

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	is this section.
Paragraph 24F	The Task Force aligned this paragraph with ISA 315 (Revised 2019) paragraph 26(a)(ii) and made the requirement fraud specific by focusing on controls that prevent and detect fraud.
Paragraph 24G	- The Task Force added this paragraph to strengthen the linkage with ISA 315 (Revised 2019), paragraph 27. Also, this paragraph clarifies that for the matters in paragraphs 24B–24F, the auditor should do the evaluation as required by ISA 315 (Revised 2019) paragraphs 21(b), 22(b), 24(c) and 26(d). - Depending on the outcome of the Board’s deliberations with respect to option 5 <i>Reporting identified significant deficiencies in internal control that are relevant to the prevention and detection of fraud</i>, as it relates to transparency in the auditor’s report, this requirement may be leveraged for other requirements. <i>Application Material</i> Agenda item 6, paragraphs 81–83, explain the addition of application material.
Identifying and Assessing the Risks of Material Misstatement due to Fraud	
Paragraph 26	Agenda item 6, paragraphs 79–80, explain the merger of paragraphs 26 and 28.
Paragraph 28	- Paragraph 28 of extant ISA 240⁵ was inadvertently not included in the draft of proposed ISA 240 (Revised) as presented to the Board in June 2022. The Task Force added it back in (not in track changes). - Paragraph 28 as included in the draft of proposed ISA 240 (Revised) as presented to the Board in June 2022 was merged with paragraph 26. Agenda item 6, paragraphs 79–80, explains the merger. <i>Application Material</i> - Paragraph A33: Based on a comment from the Board, the Task Force deleted the first sentence. It was noted that when the assessed risks of material misstatement due to fraud is a significant risk, the auditor is required to identify, evaluate design and implementation. Therefore, including “may” in the first sentence is confusing.

⁵ Extant ISA 240, *The Auditor’s Responsibilities Relating to Fraud in an Audit of Financial Statements*

Reference	Significant Changes and the Rationale for Those Changes
Paragraph 28A	In its June 2022 meeting, the Board noted that the requirements in proposed ISA 240 (Revised) that build on ISA 315 (Revised 2019) should not be duplicative of what is already required in ISA 315 (Revised 2019). In that regard the Board questioned whether paragraph 28A was needed. The Task Force agreed that paragraph 28A does not include any fraud specific considerations and therefore deleted the paragraph.
Paragraph 28B	- Based on comments from the Board, the Task Force aligned this paragraph with paragraph 13A of proposed ISA 500 (Revised).⁶ Agenda item 6, paragraph 76, explains the relocation of this paragraph.

⁶ Proposed ISA 500 (Revised), *Audit Evidence*